24STCV31540 24STCV31540

County: los-angeles

Division: Civil Law and Motion

Department: 11

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Case Number: 24STCV31540 Hearing Date: August 10, 2026 Dept: 11

Turner (24STCV31540)

Tentative
Ruling Re: Motion to Approve Private Attorneys General Act (“PAGA”) Settlement

Date: 8/10/26

Time: 11:00 am

Moving Party: Kevin Turner
(“Plaintiff”)

Opposing Party: None

Department: 11

Judge: Bruce Iwasaki

TENTATIVE RULING

Plaintiff’s motion to approve PAGA settlement is granted as to the attorney fees, attorney costs, administration costs, and incentive award.

During oral arguments,
the Court will ask Plaintiff’s counsel to discuss the gross settlement amount, net settlement amount, and releases.

BACKGROUND

This is a wage-and-hour representative action.

Here, Plaintiff requests approval of the parties' PAGA-only settlement.

LAW

PAGA permits an "aggrieved employee" to recover Labor Code civil penalties on the Labor and Workforce Development Agency's ("LWDA") behalf, if the LWDA declines to collect the penalties itself. (Cal. Lab. Code, § 2699, subd. (a); see also Mejia v. Merchants Building Maintenance, LLC (2019) 38 Cal.App.5th 723, 732-733.) The California Supreme Court has distinguished between Labor Code "civil penalties" that are "intended to 'punish the employer' for wrongdoing, often 'without reference to the actual damage sustained'" and "statutory damages" that "primarily seek to compensate employees for actual losses incurred" – a PAGA action can recover only the former. (Z.B., N.A. v. Superior Court (2019) 8 Cal.5th 175, 182, 198 [holding that Labor Code section 558 "amount sufficient to recover unpaid wages" is not a "civil penalty" recoverable via PAGA].) "A PAGA action is 'fundamentally a law enforcement action designed to protect the public and not to benefit private parties.'" (Mejia, supra, 38 Cal.App.5th at 732; see also Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal.4th 348, 381.)

PAGA requires a court to "review and approve any settlement of any civil action filed" under PAGA, but it does not provide review and approval standards or guidelines. (Cal. Lab. Code, § 2699, subd. (l)(2).) The California Supreme Court has interpreted PAGA as requiring courts to ensure that "any negotiated [PAGA] resolution is fair to those affected." (Williams v. Superior Court (2017) 3 Cal.5th 531, 549, emphasis added).) The parties affected by a PAGA settlement include: (1) the LWDA, who receives 65% of settlement funds and is "bound by the outcome of the proceeding to adjudicate the employee's PAGA claim" (Mejia, supra, 38 Cal.App.5th at

732); (2) the aggrieved employees, party and non-party, who receive 35% percent of settlement funds and are, like the LWDA, bound by a PAGA action judgment; (3) plaintiffs' counsel, who may be awarded reasonable attorney fees and costs; and (4) defendant, who pays the settlement.[1]

Moniz v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56 provides greater detail about the standard courts should apply when evaluating PAGA settlements. The opinion adopts the "fair, reasonable, and adequate" standard used in class settlements.

DISCUSSION

Settlement Terms

Gross settlement amount = $190,000.00

Attorney fees = $63,333.33

Attorney costs = $22,162.66

Administration costs = $5,490.00

Incentive award = $5,000.00

Net settlement amount = $94,014.01

Analysis

Plaintiff's counsel's declaration establishes that, in preparation for mediation, the parties took part in informal discovery. Plaintiff's counsel used the information to assess the value of the case and associated risks. Ultimately, Plaintiff's counsel came up with maximum and discounted exposure estimates.
Plaintiff's counsel asserts that the gross settlement amount is within a reasonable range, especially considering the defenses Defendant raised, and that the settlement is fair, reasonable, and adequate. (See Kim Decl., ¶¶ 10-25.)

As PAGA necessitates, Plaintiff's counsel submitted a pre-suit notice letter and a copy of the settlement to the LWDA. (See id. at ¶¶ 4, 9, 54, Exs. 2, 3, 7.)

The Court finds as follows.

Gross Settlement Amount and Net Settlement Amount

Plaintiff's counsel calculated Defendant's maximum PAGA exposure to be $658,200.00. (See id. at ¶ 22.) He calculated Defendant's discounted, reasonable PAGA exposure to be $197,460.00, i.e., 30% of the maximum exposure, accounting for Defendant's defenses, case law unfavorable to stacking, and other factors. (See id. at ¶¶ 20, 22-25.)

The Court agrees that stacking is unlikely. "Until the employer has been notified that it is violating a Labor Code provision (whether or not the [Labor] Commissioner or court chooses to impose penalties), the employer cannot be presumed to be aware that its continuing underpayment of employees is a 'violation' subject to penalties." (Bernstein v. Virgin America, Inc. (9th Cir. 2021) 3 F.4th 1127, 1144.) There does not seem to be a prior citation by the Labor Commissioner in this case.

Nevertheless, the Court needs more information. The calculation of the maximum exposure amount is based on a $100.00 penalty per pay period ($100.00 × 6,582 pay periods), yet Plaintiff alleges multiple violations (overtime violations, rest period violations, vacation pay violations, etc.). (See Second Amended Complaint for Representative Action, ¶¶ 35-137.) Is the $100.00 penalty meant to cover all alleged violations that each aggrieved employee allegedly experienced during each pay period? If yes, why does Plaintiff believe it is more reasonable to use a single penalty per pay period than to do a claim-by-claim assessment? Plaintiff's counsel should be prepared to answer these questions. If necessary, the Court will continue the hearing to give Plaintiff's counsel an opportunity to submit a supplemental declaration regarding the purported reasonableness of the aggregate penalty.

Whether the net

settlement amount ($94,014.01) is fair, reasonable, and adequate depends on whether the gross settlement amount ends up being found fair, reasonable, and adequate.

Attorney Fees

The amount for attorney fees ($63,333.33) is fair, reasonable, and adequate. This is a contingency case. (See, e.g., Kim Decl., ¶ 28.) In contingency cases in the complex courts, 33% to 35% of the gross recovery is standard.

Attorney Costs

The amount for attorney costs ($22,162.66) is fair, reasonable, and adequate. It is under 12% of the gross settlement amount, and it is within the range that has been approved in other complex cases in Department 11.

The settlement agreement caps attorney costs at $25,000.00. (See id. at Ex. 1, § 3.2.1.) If the costs fail to reach the cap, the Court will award the incurred amount to ensure that additional settlement money goes to the LWDA and aggrieved employees.

Administration Costs

The amount for administration costs ($5,490.00) is fair, reasonable, and adequate. Like the attorney costs, it is within the range that is typically approved in Department 11.

The Court will award the incurred amount if it turns out to be less than the cap. (See id. at Ex. 1, § 3.2.2 [capping administration costs at $5,490.00].)

Incentive Award

The amount for
Plaintiff’s incentive award ($5,000.00) is fair, reasonable, and adequate. It is the Court’s standard award.

Releases[2]

The Court is concerned about overbreadth. First, do Plaintiff and the aggrieved employees have standing to release claims on behalf of “former and present spouses, representatives, agents, heirs, administrators, successors and assigns[?]” (Id. at Ex. 1, § 5.1.) Second, is the definition of “Released Parties” overinclusive?[3] At the hearing, counsel needs to address the scope of the releases.

[1] Recently, the Legislature amended PAGA, changing the LWDA’s recovery from 75% to 65% and the aggrieved employees’ recovery from 25% to 35%. (See Chin, et al., Cal. Practice Guide: Employment Litigation (The Rutter Group 2025) ¶ 17:830.)

[2] The releases appear in sections 5 through 5.2 of the settlement agreement.

[3]
“Released Parties” means:

Defendants
and all of their present and former parent companies, subsidiaries, affiliates and joint ventures, including but not limited to FanDuel Group, Inc., professional employment organization, human resource or payroll providers and all of their officers, directors, employees, agents, servants, registered representatives, attorneys, insurers, successors and assigns, and any other persons acting by through, under or in concert with any of them.

(Id. at Ex. 1, § 1.28.)